Sri Lanka feared that the Indian establishment was training the Tigers. On 1 June 1982, R. Rajasingham, a top intelligence officer in Sri Lanka, said there were about thirty Tigers still at large in India. He told President Jayewardene about the arrest of five Tigers in Madras, now known as Chennai, on 19 May. The Sri Lankan government-controlled newspaper The Daily Mirror reported that fringe Tamil groups like the Nava Sama Samaja Party had requested political asylum in India for Tigers like Uma Maheswaran and Prabhakaran.

Phase two of the Tiger Liberation Movement began in July when the pro-Tamil state leaders decided to set up a government abroad. The world Tamil Eelam Convention held in New York on 3 and 4 July was widely considered a diplomatic triumph for the TULF when it passed the resolution to install an interim government on foreign soil. TULF Secretary General A. Amirthalingam made an appeal in New York, requesting the audience not challenge his motives or his bona fides. He said:

If at any stage I feel that I have lost the confidence of the Tamil people, we would step down and hand over the reins of office to whosoever has the confidence of the Tamils. Tamils should unite in achieving two objectives—first, Tamil territory should be safeguarded and Tamils of other parts of Sri Lanka should be persuaded to settle down in northern and eastern parts of the country. Secondly, Tamils should seek international support for the cause of Eelam.

As the resolution was being made in New York, the Tigers gunned down four policemen at Nelliady in Jaffna, triggering panic in northern Sri Lanka. A newspaper called The Island wrote: ‘The moment the terrorists strike there is a backlash from the security forces. Official searches and interrogations